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HOSPITAL SECTOR ANALYSIS

Q4 FY25 Results

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Hospital Sector – Q4FY25 Result Comparison

Rs. In Crores	Revenue			Operating Profit			OPM%			Net Profit		
	Q4FY25	QoQ (%)	YoY (%)	Q4FY25	QoQ (%)	YoY (%)	Q4FY25	QoQ (%)	YoY (%)	Q4FY25	QoQ (%)	YoY (%)
Apollo	5592	1%	13%	831	1%	24%	15%	-	100 bps	390	5%	54%
Narayana Hrudalaya	1475	8%	15%	385	18%	21%	26%	200 bps	100 bps	197	2%	3%
Max Healthcare	1910	2%	34%	559	5%	31%	29%	100 bps	-100 bps	319	34%	27%
KIMS	797	3%	26%	203	-1%	24%	25%	-200 bps	-100 bps	102	15%	55%
Global Health (Medanta)	931	-1%	15%	248	-2%	20%	27%	-	100 bps	101	-29%	-20%
Rainbow Children Medicare	370	-7%	9%	129	-12%	9%	35%	-200 bps	-	56	-18%	10%
Yatharth Hospitals	232	6%	30%	62	6%	20%	27%	-	-200 bps	39	27%	1%

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Hospital Sector –FY25 vs FY24 Result Comparison

Rs. In Crores	Revenue			Operating Profit			OPM%			Net Profit		
	FY25	FY24	YoY (%)	FY25	FY24	YoY (%)	FY25	FY24	YoY (%)	FY25	FY24	YoY (%)
Apollo	21794	19059	14%	3222	2497	29%	15%	13%	200 bps	1446	899	61%
Narayana Hrudalaya	5583	5018	11%	1369	1243	10%	25%	25%	-	790	790	-
Max Healthcare	7028	5406	30%	2004	1670	20%	28%	31%	-300 bps	1076	1058	2%
KIMS	3034	2498	21%	815	661	23%	27%	26%	100 bps	385	310	24%
Global Health (Medanta)	3692	3275	13%	957	884	8%	26%	27%	-100 bps	481	478	1%
Rainbow Children Medicare	1515	1297	17%	541	469	15%	36%	36%	-	244	217	12%
Yatharth Hospitals	881	671	31%	236	198	19%	27%	29%	-200 bps	130	114	14%

Hospital Sector – Q4FY25 Performance Drivers

Apollo Hospitals

Key Highlights

- Shifted focus to high-complexity specialities (cardiac, oncology, neuro, ortho) and better payer mix, which supported ARPOB and margin resilience despite a drop in Bangladesh patient inflows.
- Apollo HealthCo turned profitable for third straight quarter; digital health (24/7) scaled to 2 million users with expanding GMV.
- Massive capacity expansion underway (4,300 beds planned), funded through internal accruals and existing cash flows.

Narayana Hrudayalaya

Key Highlights

- Cayman Islands hospital exceeded expectations with strong acceptance and 45% EBITDA margin; seen as new base for future.
- Clinic and insurance verticals are in investment phase, with ₹400 crore earmarked over 3–4 years; clinic breakeven expected in 18–24 months.
- Domestic hospital growth continues through throughput and case mix without adding large bed capacity in near term.

Medanta

Key Highlights

- Delivered India's first CAR-T cell therapy outside metros at Lucknow and Gurugram, highlighting advancement in oncology.
- Developing hospitals like Patna and Lucknow delivered strong margins (30%), aided by better mix and volume uptick.
- 1,000+ new beds planned over 2 years across Noida, Mumbai, Pitampura, and Guwahati with capex-light model focus.

Hospital Sector – Q4FY25 Performance Drivers

Max Healthcare

Key Highlights

- Max Dwarka hospital broke even in just 6 months; planned 200-bed expansion underway due to high occupancy and demand.
- Focused integration of acquired assets (Jaypee, Noida) improving network efficiency; internal restructuring aimed at optimizing cash flows.
- Max@Home and Max Lab verticals showed strong traction, expanding service lines and repeat usage across multiple cities.

Krishna Institute of Medical Sciences (KIMS)

Key Highlights

- Newly launched centers in Guntur, Sangli, Nashik, Kannur, and Kollam expanded footprint in Tier 2 cities with emphasis on affordability and trust.
- New hospitals are contributing marginal losses in short term but expected to be breakeven contributors by FY26.
- Technological investments like advanced imaging, robotic surgery, and fertility centers introduced across newer units.

Rainbow Children Medicare

Key Highlights

- Performance impacted by unusually low seasonal demand in pediatrics, but obstetrics and pediatric surgery remained strong.
- Expansion into liver transplants and tertiary care hubs in Chennai and Bengaluru reflects shift toward higher-acuity care.
- International patient revenue declined due to geopolitical issues, notably in Bangladesh and Sudan; offset partly by IVF and retail health growth.

Hospital Sector – Q4FY25 Performance Drivers

Yatharth Hospitals and Trauma Care

Key Highlights

- Medical tourism push via partnerships in Nigeria, Uzbekistan, Tajikistan, and African student initiatives expected to boost ARPOB.
- New Faridabad hospital contributed 9% of Q4 revenue within just 10 months of operations; two more hospitals to be commissioned shortly.
- Revenue mix improving with lower dependence on government schemes (only 20% in new hospitals), aiding margin enhancement.

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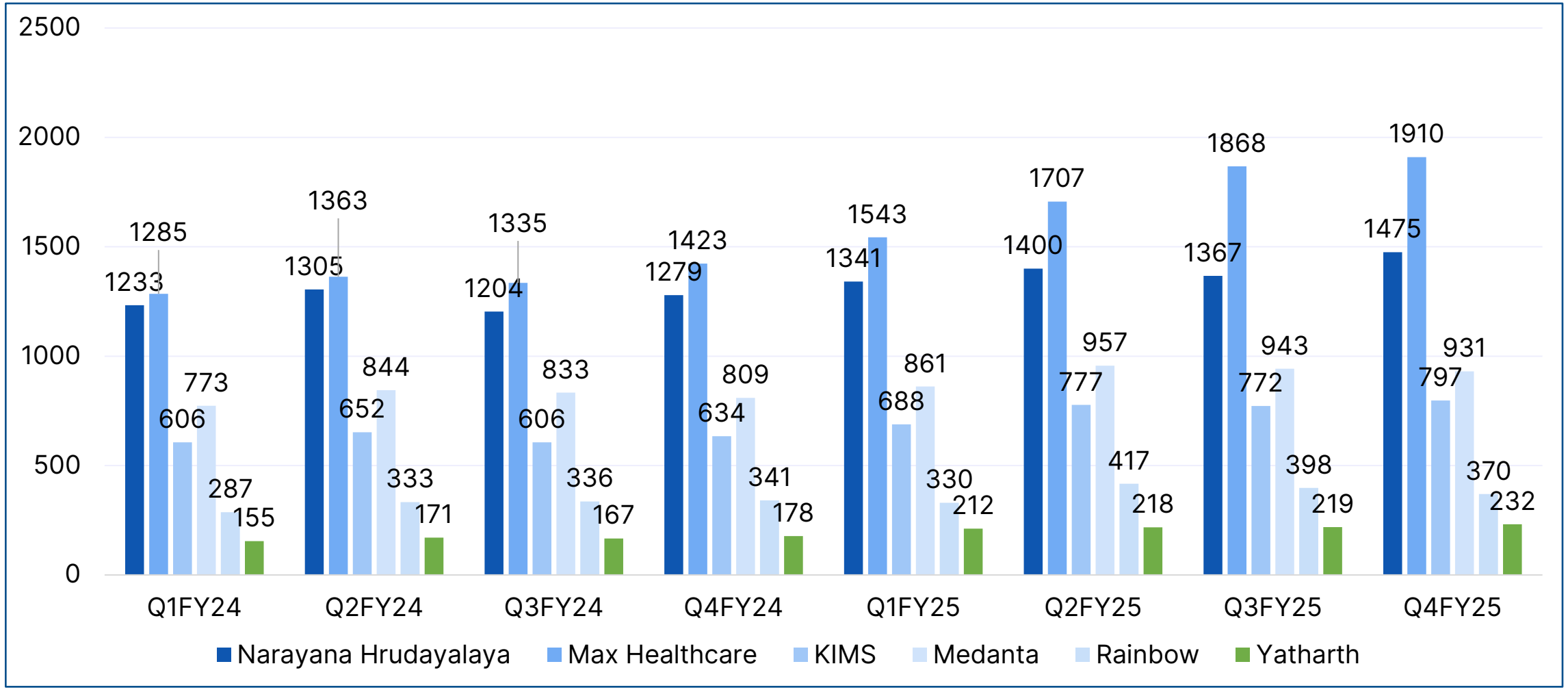
Hospital Sector - Revenue Trend



- Apollo Hospitals has not been included here since it is comparatively much bigger and hence, distorts the scale to analyze other players in the sector.

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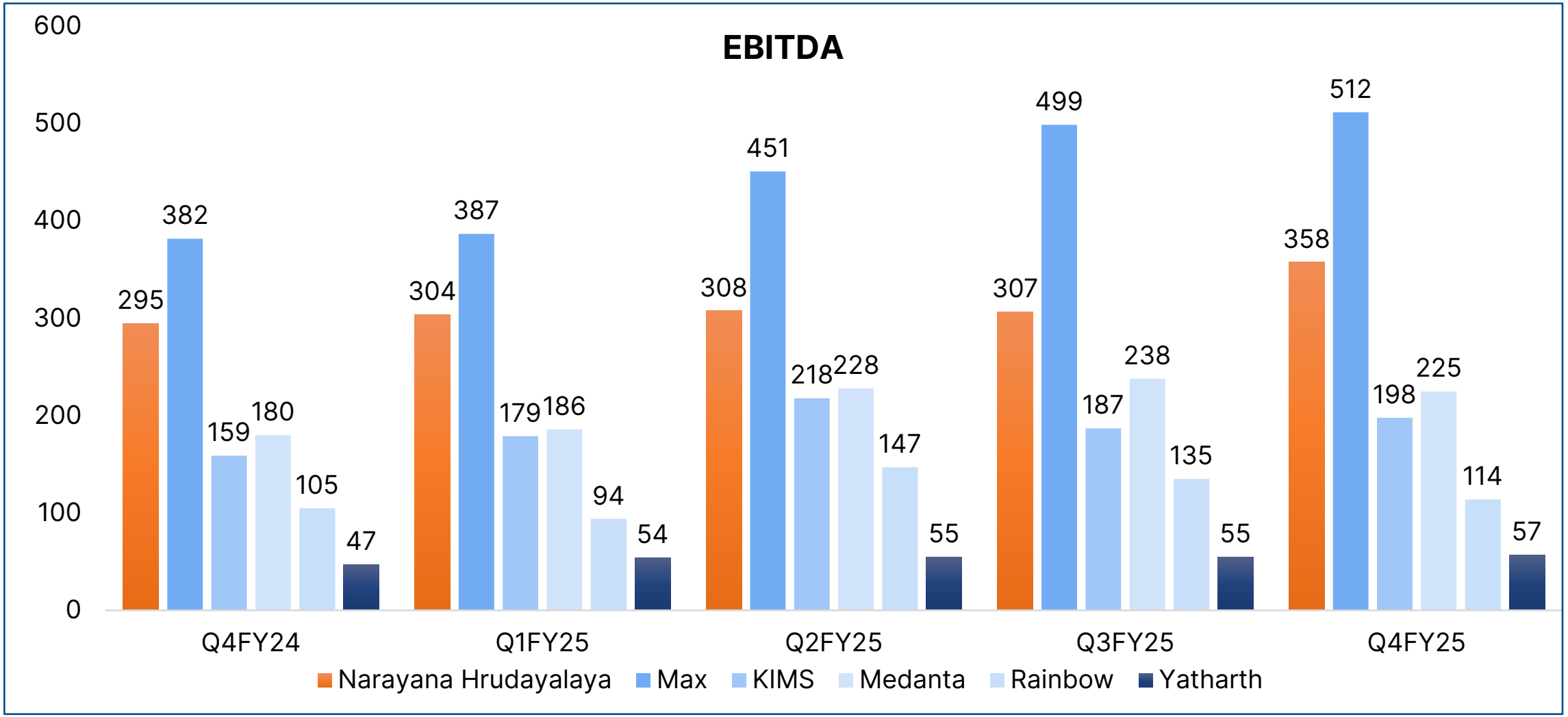
Hospital Sector - EBITDA Trend



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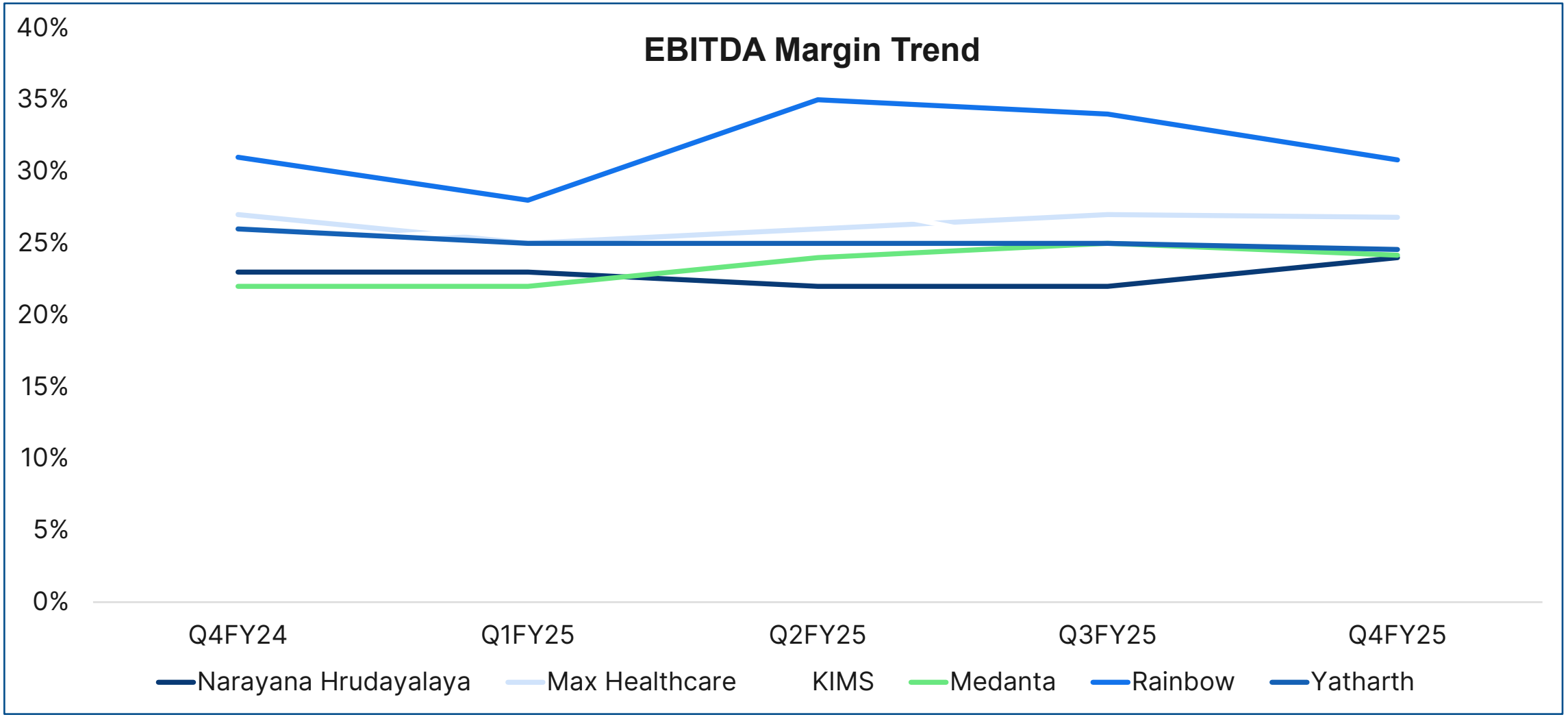
Hospital Sector - EBITDA Trend



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Hospital Sector – Q4FY25 Earnings Call Highlights

Company	CAPEX and Expansion Plans
KIMS	➢ Capex focused on recently opened units in Maharashtra, Kerala, and Andhra Pradesh; new units in Bangalore and full-scale launch in Thane lined up.
Medanta	➢ Adding ~1,000 beds over 2 years with major projects in Noida (550 beds) and greenfield hospitals in Mumbai, Pitampura, and Guwahati.
Max Healthcare	➢ Actively deploying ₹390 crore in Q4FY25 towards capacity additions; 1,500 new beds to be added in next 3–6 months via brownfield and greenfield projects.
Yatharth	➢ The company is targeting breakeven in 18-24 months for newly acquired hospitals, with a CAPEX of INR 220 crores for Delhi and INR 150 crores for Faridabad
Narayana Hrudayalaya	➢ Capex to be moderate; investments largely directed towards clinic and insurance business (~₹400 crore over 3–4 years), with no large greenfield hospital spends imminent.
Rainbow Children	➢ Investing in 3–4 new hospitals, including Rajahmundry, Coimbatore, and two spoke units in Bengaluru, scheduled for FY26.

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Hospital Sector – Q4FY25 Earnings Call Highlights

Company	Q4FY25
International Segment	
Max Health	➢ International patient revenue rose 28% YoY to ₹202 crore, despite reduced footfalls from Bangladesh and Yemen due to political instability.
Yatharth	➢ Actively targeting medical value travel with new information centers in Africa and Central Asia; expects this to improve ARPOB and drive patient inflows.
Occupancy Levels	
Max Health	➢ Network occupancy at 75%; excluding newly acquired Max Noida, occupancy would have been 78%.
Narayana	➢ Focus remains on throughput-driven growth due to limited capacity addition.
Yatharth	➢ Occupancy improved, with Jhansi-Orchha and Noida Extension showing strong YoY growth
Rainbow Children	➢ Overall occupancy was 46.5%; mature hospitals at 52.2%, while newer ones posted 35.6%.
Apollo Hospitals	➢ Group-wide occupancy stood at 67%; metro hospitals achieved 70% occupancy.

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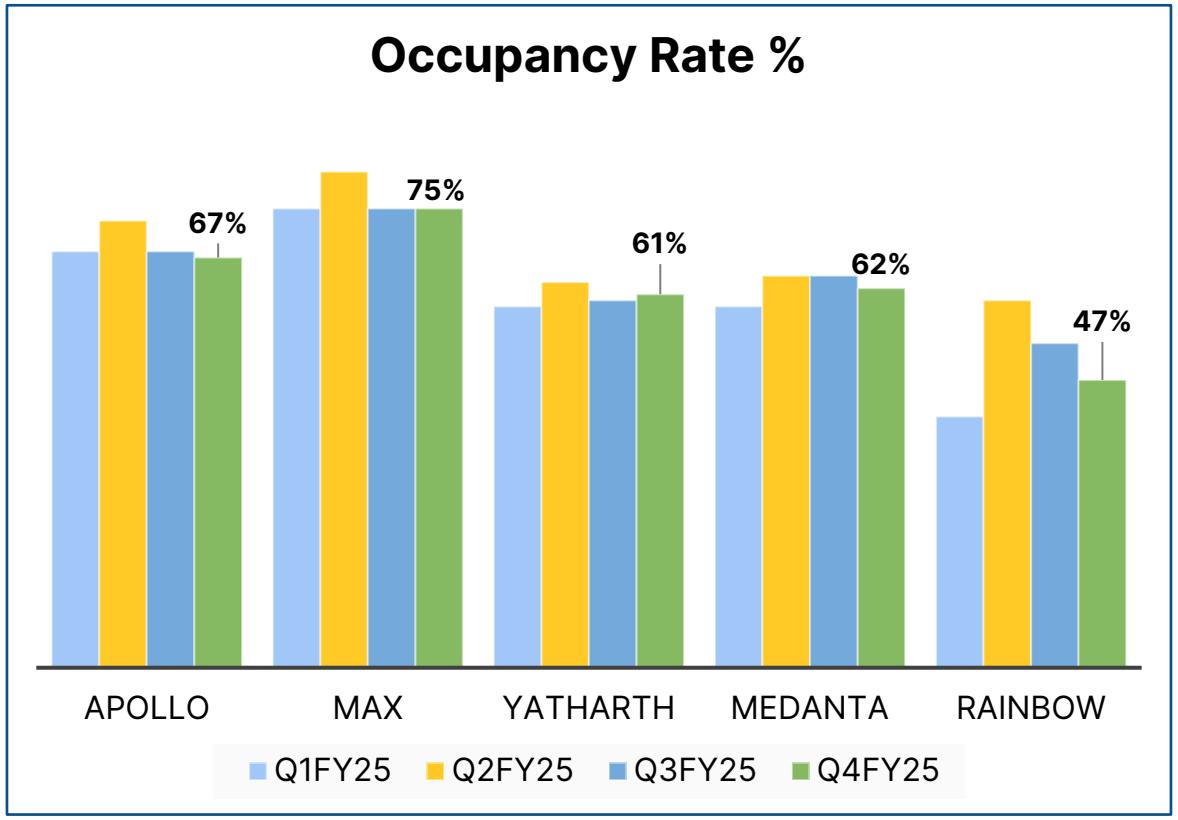
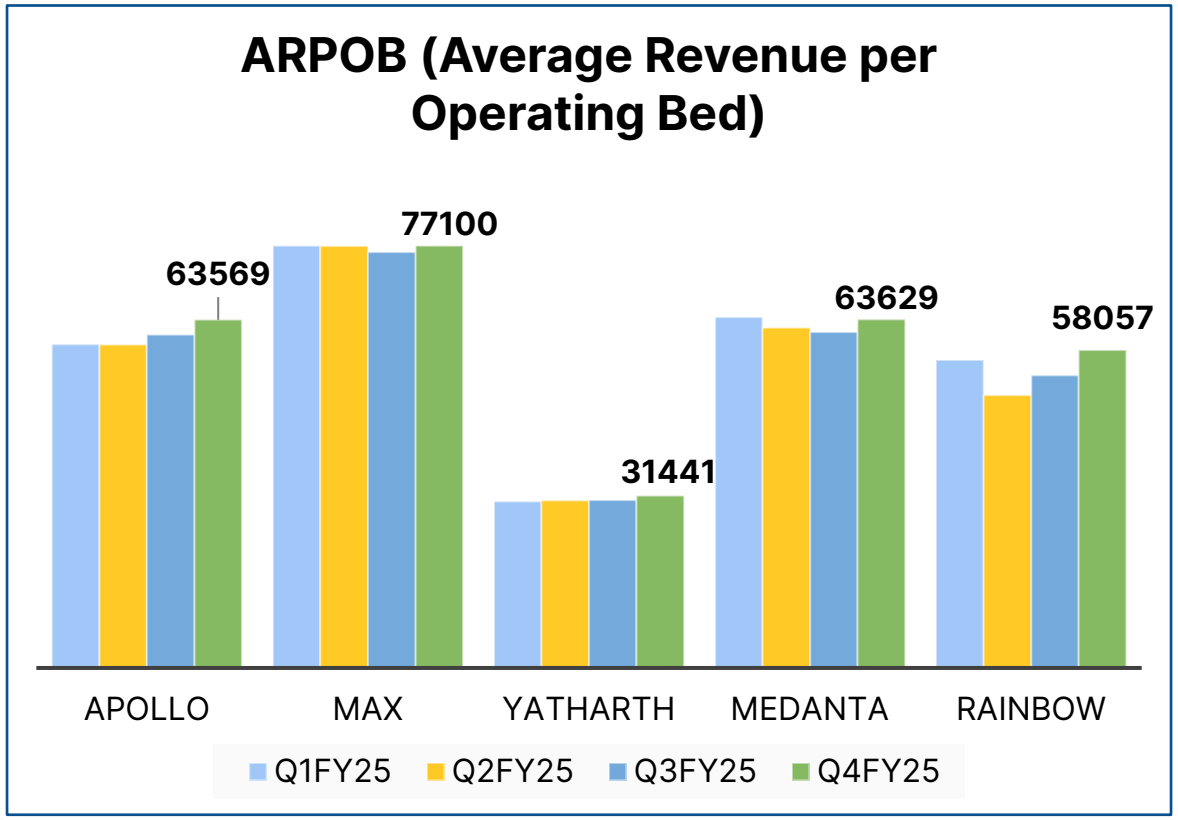
Hospital Sector – Occupancy and ARPOB





*Narayana Hrudayalaya has not disclosed average occupancy levels and ARPOB in their investor presentation.
*As per the Industry standard KIMS has mentioned % of occupancy as % to bed capacity, rather than the % to census beds, for Q4FY24.

- Occupancies and ARPOB of companies in the hospital sector continue to remain strong. Major volatility is observed only in case of Rainbow – This is mainly because of its expansion in uncharted geographies and its niche specialization.
- ARPOB of all hospitals continues to improve mainly due to sustained IP volumes and better case mix.

Hospital Sector – Headwinds and Tailwinds

Tailwinds

- Hospitals' 24x7 operations create high fixed costs, but demand surges, like during Covid, can boost margins through operating leverage.
- Rising incomes, better healthcare access, and awareness are driving up per capita healthcare expenditure.
- Specialized surgeries are a high margin business. Almost all players in the industry specialize in one or more of specialized surgeries – For e.g. ECMO treatment in case of KIMS and Cardiac Sciences in case of Narayan Hrudayalaya. These businesses will increase EBITDA % as the economy gradually opens up.
- The investments in this sector from domestic and international investors both is increasing looking at the high potential of growth

Headwinds

- The sector is very capital intensive. Land, building, medical equipment etc., require heavy investments along with high operating costs. This creates a significant barrier to entry and expansion and is one of the key reasons why bed density continues to lag requirements.
- Hospital sector in India is heavily regulated with major regulations in licensing, approvals, prices of drugs and consumables.
- For an average Indian, affordability is still an issue – The average revenue per operating bed of the listed players is around 25k-60k per day. Hence, getting hospitalized is an expensive affair. 60% of expenses in India are paid by the patients out of pocket. Hence, demand can be bit of a concern for the bigger players.

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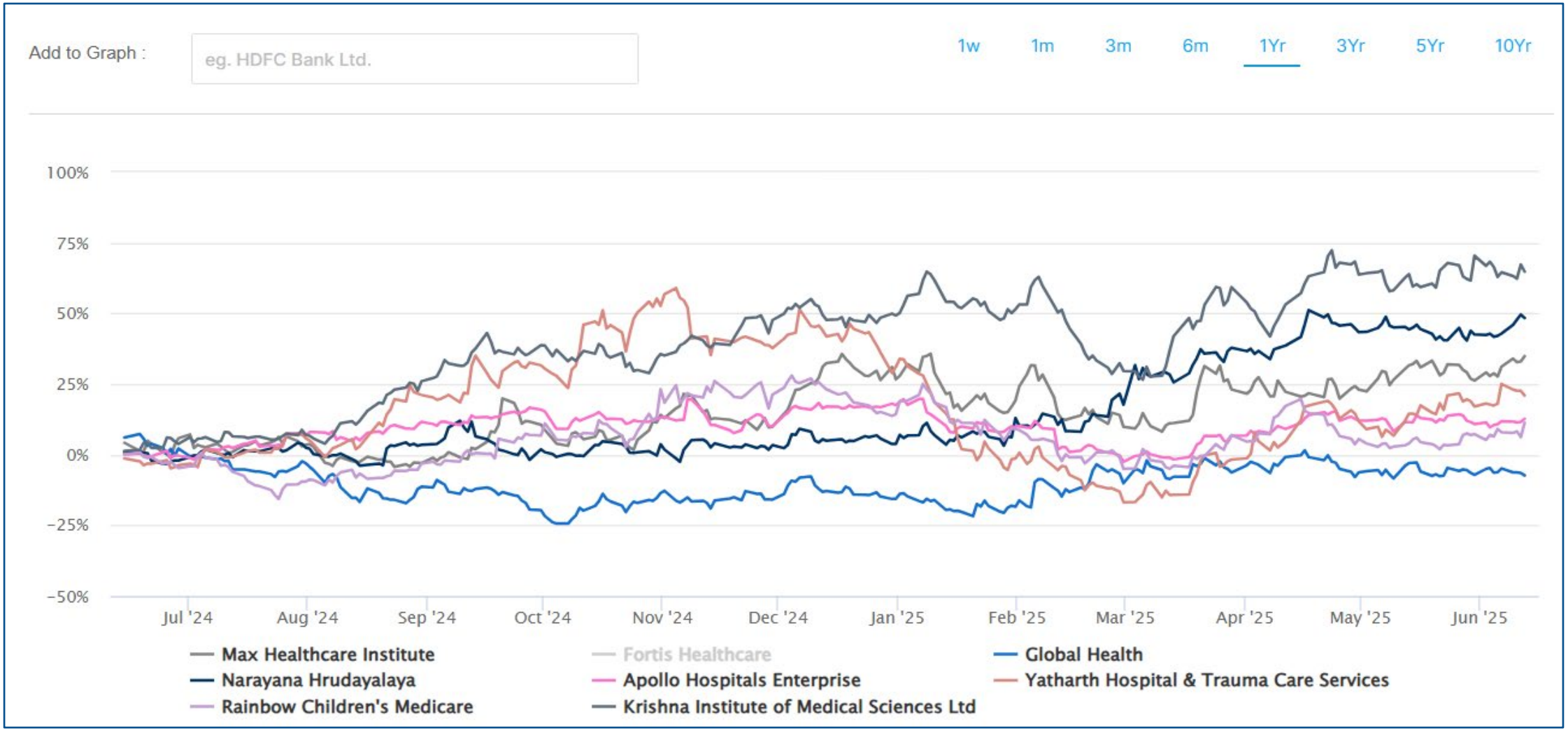
Hospital Sector – Growth Graph



Hospital Sector - Stock Update

Company	CMP (Rs.)	Market Cap (Rs. In Cr)	Current P/E Ratio	Median PE 3 Years-	Median PE 5 Years -	EV/ EBITDA	5- Year Revenue CAGR (%)	5- Year PAT CAGR (%)	1 Year Stock Return
Apollo	6,978	1,00,571	69	87	90	33	14%	37%	13%
Narayana Hrudayalaya	1,913	39,099	49	34	35	30	12%	44%	49%
Max Healthcare	1,237	1,20,264	106	67	74	61	30%	64%	35%
KIMS	680	27,199	72	47	47	36	22%	27%	65%
Global Health	1,192	32,010	62	62	62	33	20%	70%	-7%
Rainbow Children	1,427	14,487	60	55	NA	28	16%	35%	12%
Yatharth Hospital	523	5,039	39	37	NA	20	45%	152%	21%

Data as of 13th June 2025

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THANK YOU

Research Analyst
Mandar Purandare
MRP.